Introduction of ESA Cooperative Agreements to Industry

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1. Introduction

As part of the Agency's mandate to support Space industry competitiveness, the Ministerial Council Resolution on "ESA Accelerating the Use of Space in Europe" calls upon ESA to "*develop forward-looking tools for accompanying and stimulating the commercialisation of space activities through innovative support to European commercial actors*".

Therefore, to unlock new commercial potential, partnership models and procurement methods, is integrated in the Regulations, in the form of the contracting method of <u>Calls for Proposals without Procurement</u> with the use of <u>Cooperative Agreement</u> as a legal instrument for the implementation of partnership with Industry.

In these activities, ESA funds eligible activities to be carried out by the Partner. ESA also provides technical support and validation of the activities, without being the end customer of resulting goods or services in the concrete tender action.

In essence, Calls for Proposals without Procurement, and the resulting Cooperative Agreements, laid down in the new Article 10 of the Regulations, is remarkably similar to the Calls and contracts put in place up to now for the implementation of Close-to-Market or support to innovation Programmes such as ARTES C&G, ARTES Partnership, BASS, Scale-up Invest, Incubed, NAVISP Element 2, Boost 1!, etc. This in particular provides for a preliminary stage, eligibility conditions, and co-funding requirements.

With this in mind, the provisions of the Cooperative Agreement will be largely similar to those foreseen under procurement contracts. However, since there is no acquisition of goods or services, there are essentially two key advantages rendering a Cooperative Agreement better suited to implement these activities than a procurement contract:

a. General provisions are adapted to a situation which involves partnership on equilibrated terms, technical support, and co-funding by the Agency, rather than procurement of goods, technology or services by a customer from a supplier, with clauses on acceptance, warranty, penalties, etc., which is not the real situation in a partnership. This feature alone makes a Cooperative Agreement more suitable for a partnership than a classic procurement contract.

b. In particular, the intellectual property regime should reflect the situation of a partnership where ESA supports the development of products and services for private and public customers, rather than a situation where ESA procures a system or services. The definitions and other terms of the intellectual property regime need to be readily understood by external stakeholders, e.g. venture capitalists and new entrants to the relatively niche space industry. Since the Agency is not taking delivery in a product or system, there is no need for ESA to claim extensive access to background rights in know-how and trade secrets.

The Calls for Proposals without Procurement is a tool to help Industry develop key technologies and products that can enable new services to be offered later to commercial or public customers. Future programmes may contain the possibility to introduce Calls for Proposals without Procurement as well as public procurement of hardware or services, as separate individual tender actions. The introduction of Calls for Proposals without

Procurement offers to the Agency another tool to flexibly support Industry in the development of new products and services.

In the following sections, we compare, and further detail, procurement contracts and cooperative agreements in terms of similarities and specificities.

2. Comparison between Cooperative Agreement and Procurement contracts

In view of the foregoing, and for ease of reference, the reader is invited to consult the draft contract currently published in the context of the Call for Proposals under the aforesaid Programmes. While each programme, and thus each draft contract, has its own specificities, the main provisions are rather similar and can be used equally for the purpose of the present comparison.

In this respect, we shall differentiate between:

- Provisions which are common to Procurement contracts and proposed Cooperative Agreements;
- Provisions which are specific to the co-funded contracts under the current calls and the proposed Cooperative Agreements; and
- Provisions which are proposed to be changed with the introduction of the Cooperative Agreements.

  Standard Call for Proposal for Incubed:
  https://esastar-publication.sso.esa.int/ESATenderActions/details/61758

  Standard Call for Proposal for NAVISP:
  https://esastar-publication.sso.esa.int/ESATenderActions/details/6883

  Standard Call for Proposals for ARTES 4.0 Techno & Product Development: https://esastar-publication.sso.esa.int/ESATenderActions/details/55124

While many other Calls for Proposals are publicly available in ESA Star, those mentioned above represent typically the scope of activities which should be the subject of Cooperative Agreements.

a. Common Provisions between Cooperative Agreements and Procurement contracts:

By comparison, several provisions in the Cooperative Agreement will be identical, or similar, to those in force under Procurement contracts, based upon the General Clauses and Conditions for ESA Contracts [GCC, ESA/REG/002], inter alia:

- General Provisions;
- Parties including Subcontracting;
- Third Party Liability including product liability and third party IPR infringement;
- Applicable Law and Dispute Resolution;
- Export control-related provisions;
- Personal data protection.

b. Specific provisions currently applicable to co-funded (procurement) contracts:

- Financial provisions:

  Cooperative agreements containing co-funding by ESA will contain similar financial provisions as co-funded contracts since it concerns public expenditures.

  Compared to fully funded Procurement contracts, the Agency pays particular attention to regulating properly the co-funded requirements and allowability of costs in the contractual financial provisions. As shown by the provisions under Article 3 and Article 5 Clause 27 of the standard draft contract available on ESA-STAR under the above-mentioned Call for Proposals, the financial provisions identify:

- Total costs with breakdown between ESA co-funding and (sub) contractor contribution (at any level of contracting);
- Audit rights of ESA, to be exercised also for Fixed price contracts;
- "Claw back clause" allowing ESA to readjust the "fixed" price or request additional work in case the co-funding rules would eventually not be complied with upon consolidation of total costs at completion.
- Customer Furnished Items are possible also in Cooperative Agreements. As for co-funded contracts, there is no liability of ESA in case of delay or non-conformance with interface requirements.
- Penalties/Liquidated damages: in line with the applicable ESA Penalty policy, no penalties are applied to the co-funded contracts. In a Cooperative agreement they definitely do not apply by nature of the legal instrument since there is no acquisition of goods or services, and consequently no technical specification, no delivery, and no acceptance.

c. Articles Specific to Cooperative Agreements:

With the introduction of the Cooperative Agreement, the Agency intends to optimise the adaptation of the legal provisions to the actual purpose of the Agreement. The activities under the above-mentioned programmes are carried out with ESA being a facilitator and/or enabler in support of European economic operators' competitiveness, instead of ESA being a customer in search of acquisition of goods or services.

With this in mind, the following provisions are planned to be further modified compared with the procurement contract as follows:

- Scope of work and requirements baseline:

  Obviously, it is proposed to change the title of the contract to call it "Cooperative Agreement" and describe the scope of the work with emphasis put on the cooperative nature of the work with mutual obligations to reach the common objective. Rather than "the contractor shall…", the scope will refer to "the parties will jointly…"

  This Article will detail the various types of milestones that need to be achieved throughout the duration of the Agreement. It includes technical milestones related to project progress or technological advancements with specified dates for achieving certain results, and financial milestones related to funding or budgetary requirements (e.g. demonstration of co-funding, or additional contribution from ESA for a subsequent phase).

Also, since under this tendering method ESA is not a customer of goods or services, it is not dictating technical or performance requirements to then be used as basis for acceptance as for a typical Procurement contract. Still, the milestones will set technical requirements and objectives proposed by the Partner and then agreed by ESA. This gives Industry the possibility to coordinate the technical milestones in the Cooperative Agreements with “time to market” objective to develop products and services in accordance with their business plans. Such coordination would be beneficial when the Partner raises external capital, since the ESA “stamp” is very important for Partners to get appropriate co-financing.

There will be applicable documents from ESA and they will rather focus on the “how” to provide enough visibility to ESA and safeguard of the appropriate employment of the Agency’s resources (e.g. management requirement on reporting, gate reviews to limit ESA exposure, etc.) while providing enough confidence to the Partner of the engagement of the Agency as long as the baseline rules are complied with.

- Termination:

  Termination for default (Clause 32 of the GCC) is extended to cases of non-compliance with co-funding rules and/or core objective of the contract (e.g. proof of technical concept, meeting agreed technical objectives, time to market and/or market evolution). Also, the effects of termination are limited to accrued costs of ESA contribution and payments with no further liability of ESA. Finally, phases or Key Performance Gates (KPG) as “stop and go” depending on technical and/or programmatic milestones (e.g. co-funding evidence) are often used.

- Deliverables, acceptance, ownership:

  This will constitute a major difference compared to the Procurement contracts. As one can see from Article 2 of the standard draft contract (see ESA-STAR under the above-mentioned Call for Proposals) it is currently required to precisely detail the deliverables to ESA, whether documentation, software (object code and/or source code) or hardware. While such provisions are fundamental in the context of acquisition of goods or services, they do not make sense when the purpose of the agreement is to support the partner to mature, de-risk their technology for the benefit of their own missions. No tangible assets are expected to be delivered as part of the Cooperative Agreements.

  Since there is no acquisition of a system or a service by ESA, no acceptance and warranty provisions will be required, nor transfer of ownership, except in the case of termination and/or lack of exploitation by the Partner of the output of the contract. Similarly, the current requirement to provide a detailed inventory of all hardware items purchased for the purpose of the (procurement) contract (Article 4 of the standard co-funded contract) will not be necessary and will not apply.

- Change provisions:

  Various provisions will be adapted to better reflect the collaborative nature of the agreement. Typically, while change Provisions to Procurement contracts are the prerogative of the customer, amendments to Cooperative Agreements should be jointly defined to meet both the priorities of the Partner and the objectives and boundary conditions of the relevant ESA programme.

- Payment conditions:

  In the same spirit, although payments will remain based on "performance" milestones, evidencing progress made in the execution of the Cooperative Agreement, payments will not necessarily be associated to acceptance of intermediate or final deliveries or successful completion of specific tasks. Agency payments conditions shall be jointly agreed with the need to secure reasonable cash balance with due consideration of the co-funding profile and value for money against ESA payments.

- Intellectual Property Rights (IPR):

  In Part II of the General Clauses and Conditions, made applicable and tailored in each contract, the IPR regime is designed with a view to combine ESA rights as required for managing and operating its space systems (including access to Background IPR for the purpose of the ESA project) whilst at the same time supporting the competitiveness of European industry (i.e. IPR ownership vested with contractors).

  Compared to the current tailoring of the GCC Part II as reflected in the draft co-funded contract (Article 5, Part II) with either Option A or B depending on the co-funding level, the following main modifications are foreseen in the IPR regime of the Cooperative Agreement:

  - The definition of IPR does not include know-how and trade secrets;
  - The access rights, or the licence to use, is limited to Registered IPR for both ESA and Participating States only when required for "space research and technology and their space applications".

  The access rights in Registered IPR secures the possibility for ESA and its Participating States to use Registered IPR for its core activities in return for the provided co-funding.

  On the other hand, for downstream activities and non-space applications, IPR access will NOT be necessary for ESA and Participating States. This is an important change to reassure investors and industrial partners in support of the credibility of the partner business plans and competitiveness of European economic operators.

  Overall, ESA is confident that the tailoring of the IPR regime answers to concerns expressed by Industry on the balance of rights and obligations with respect to IPR, in particular for partnerships.